

GlobalTrust Financial Services

Anti-Money Laundering (AML) Policy

Compliance & Financial Crime Department

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1. Purpose

This Anti-Money Laundering (AML) Policy establishes GlobalTrust Financial Services (GTFS) requirements for detecting, preventing, and reporting money laundering, terrorist financing, and proliferation financing. GTFS serves 4,910 employees across Singapore, Dubai, Mumbai, and London and is committed to the highest standards of financial crime prevention.

- **Financial crime prevention** — Protect the financial system from illicit funds.
- **Regulatory compliance** — Meet MAS, FATF, and local AML obligations.
- **Customer trust** — Maintain integrity expected of a multinational bank.
- **Reputation** — Protect GTFS brand and shareholder value.
- **International banking obligations** — Align with correspondent banking standards.

REGULATORY REQUIREMENT: Failure to comply with this policy may result in regulatory penalties, licence restrictions, and criminal prosecution. All employees must read this policy alongside GTFS-HR-001.

2. Scope

This policy applies to all GTFS business lines and personnel:

- Retail Banking, Commercial Banking, Corporate Banking, Private Banking.
- Mortgage Services and Wealth Management.
- Third-party partners performing AML functions on behalf of GTFS.
- All employees, contractors, and appointed representatives.

Detailed KYC procedures are specified in the KYC Guidelines (GTFS-COMP-002). Technology controls align with GTFS-SEC-001.

3. Regulatory Framework

Framework	Applicability	GTFS Alignment
FATF Recommendations	International AML/CFT standard	Risk-based approach; 40 Recommendations
MAS Notice 626	Singapore AML/CFT	Primary regulatory framework for SG operations
Local AML Regulations	RBI, DFSA, FCA	Regional compliance officers per jurisdiction
International Sanctions	UN, OFAC, EU, MAS	Real-time screening before processing
Internal Standards	GTFS-RISK-001	Enterprise risk management integration

COMPLIANCE NOTE: GTFS maintains a group-wide AML compliance programme approved by the Board Risk Committee. Regional compliance officers in Singapore, Dubai, Mumbai, and London ensure local regulatory alignment while applying consistent GTFS standards.

4. Customer Risk Classification

AML Customer Risk Matrix — Likelihood vs Impact

	Low Impact	Medium Impact	High Impact
Low Likelihood	Low Risk	Low Risk	Medium Risk
Medium Likelihood	Low Risk	Medium Risk	High Risk
High Likelihood	Medium Risk	High Risk	Very High Risk

Risk Level	Examples	Controls	Review Frequency	Approval
Low	Salaried retail; gov employees	Standard CDD	Every 3 years	System auto
Medium	SME owners; professionals	Standard CDD + monitoring	Annually	RM + Compliance
High	Cash-intensive; high-risk sectors	Enhanced monitoring	Every 6 months	Compliance Officer
Very High	PEPs; sanctioned-adjacent jurisdictions	Full CDDs	Every 6 months	CCO approval

REGULATORY REQUIREMENT: High-risk jurisdiction customers are subject to **continuous monitoring** regardless of assigned risk tier.

Approval Authorities

Decision	Low / Medium	High	Very High
Account opening	RM + system	Compliance Officer	CCO
EDD waiver	Not permitted	Head of Compliance	CCO only
STR filing	MLRO	MLRO	MLRO
Sanctions override	Not permitted	CCO + Legal	Board notification
Relationship exit	Compliance Officer	CCO	CCO + Board report

5. Customer Due Diligence (CDD)

Customer Due Diligence Process



CDD Element	Requirement
Customer Identification	Full legal name; date of birth; nationality
Identity Verification	Government-issued Photo ID; Proof of Address; Tax ID Number
Address Verification	Utility bill or bank statement within 3 months
Source of Funds	Documented for transactions above SGD 100,000
Source of Wealth	Required for Private Banking and EDD customers
Business Verification	Certificate of incorporation; business registration
Beneficial Ownership	Mandatory verification for ownership above 25%

6. Enhanced Due Diligence (EDD)

EDD is mandatory when cumulative exposure exceeds **SGD 100,000**, or when any trigger below applies regardless of amount.

- Politically Exposed Persons (PEPs) — reviewed **annually**.
- Customers in high-risk countries — continuous jurisdiction monitoring.
- Large cash transactions exceeding monitoring thresholds.
- Complex ownership structures with opaque beneficial owners.
- Unusual business activity inconsistent with customer profile.
- High-risk industries: money services, casinos, precious metals, crypto exchanges.

Enhanced Due Diligence Approval Process

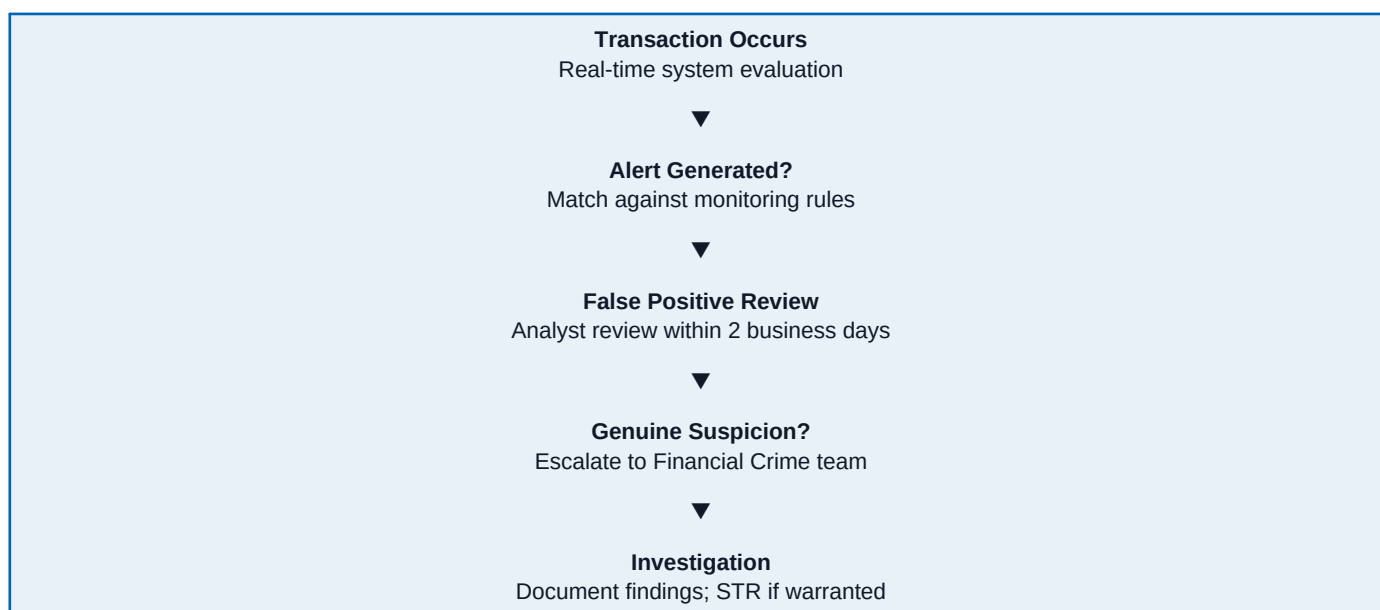


7. Transaction Monitoring

GTFS operates **real-time and daily batch analysis** across all customer accounts. The monitoring system evaluates patterns against typologies and regulatory thresholds.

Rule Type	Threshold / Trigger	Action
Cash transaction monitoring	SGD 10,000 single transaction	Auto-alert to Compliance
Cumulative cash deposits	SGD 20,000 daily cumulative	Mandatory review
International wire transfer	SGD 50,000	Compliance review before release
EDD threshold	SGD 100,000 cumulative exposure	Trigger EDD assessment
Structuring detection	Multiple transactions below threshold	Pattern analysis alert
Cross-border transfers	To/from high-risk jurisdictions	Continuous monitoring
High-value payments	Above customer normal pattern	RM notification

Transaction Monitoring Workflow



Case Study: Structuring Through Multiple Small Transactions

Situation: A commercial customer deposited SGD 9,800 on five consecutive days (total SGD 49,000), each below the SGD 10,000 cash monitoring threshold.

Risk Assessment: High — classic structuring typology designed to evade reporting thresholds.

Required Action: Compliance analyst flagged pattern via batch analysis. RM interviewed customer. EDD initiated; source of funds documentation requested.

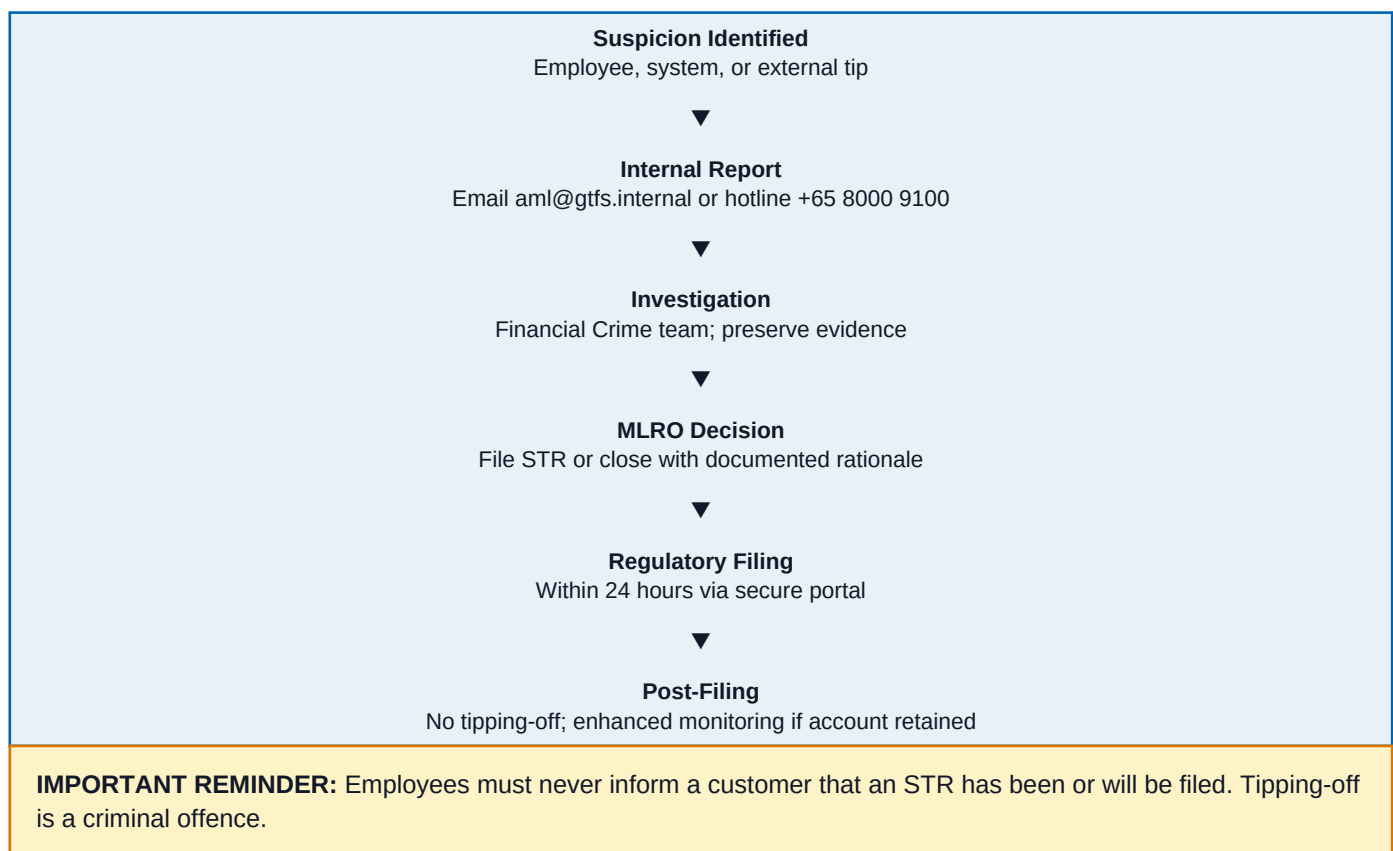
Expected Outcome: STR filed within 24 hours after investigation confirmed inconsistent business rationale.

COMMON RED FLAG: Structuring — breaking transactions into smaller amounts to avoid thresholds — is a criminal offence. Employees must report suspected structuring immediately.

8. Suspicious Transaction Reporting (STR)

Stage	Timeline	Responsible Party
Detection	Real-time / daily batch	Transaction Monitoring System
Initial Review	Within 2 business days	Compliance Analyst
Investigation	Fraud escalation within 2 hours if urgent	Financial Crime Team
Escalation	Same day for confirmed suspicion	Head of Compliance
STR Filing	Within 24 hours of confirmation	MLRO to MAS/regulator
Documentation	7-year retention	Compliance records management

Suspicious Transaction Reporting Process



9. Sanctions Screening

Sanctions screening is performed in real-time before transaction processing for all customers, beneficiaries, and counterparties.

Screening Type	Frequency	Lists Covered
Customer onboarding	Real-time	UN, OFAC, EU, MAS, HMT
Transaction screening	Real-time pre-processing	All payment messages
PEP screening	At onboarding + annually	Global PEP databases
Adverse media	Continuous	Financial crime, corruption, fraud
Ongoing monitoring	Daily batch + event-triggered	List updates within 24 hours

Case Study: International Wire Transfer to High-Risk Jurisdiction

Situation: Corporate customer initiated SGD 75,000 wire transfer to a beneficiary in a FATF grey-list jurisdiction.

Risk Assessment: High — exceeds SGD 50,000 international wire review threshold; high-risk destination.

Required Action: Real-time sanctions screening performed. EDD documentation refreshed. Compliance approved after verifying trade invoice and beneficiary relationship.

Expected Outcome: Transfer processed with enhanced post-transaction monitoring for 90 days.

10. Employee Responsibilities

Role	AML Responsibilities
Relationship Managers	Know your customer; report red flags; complete CDD accurately
Operations	Verify documentation; execute screening; escalate anomalies
Compliance	Policy governance; STR filing; regulatory liaison
Risk	Enterprise AML risk assessment per GTFS-RISK-001
Branch Managers	Local compliance oversight; training completion
Executives	Tone from the top; resource allocation; Board reporting

11. AML Training

All employees must complete **mandatory AML training annually (8 hours)** including role-specific modules. **Employee certification is required every 12 months** with passing score of 80% or higher.

- New hires: AML induction within 10 business days of start date.
- Annual refresher with updated typologies and regulatory changes.
- Quarterly awareness campaigns and red flag bulletins.
- Enhanced training for Financial Crime, Compliance, and front-office staff.

Training Module	Audience	Duration	Frequency
AML Fundamentals	All employees	4 hours	Annual
Red Flag Recognition	Front office, Operations	2 hours	Annual
STR & Escalation	RMs, Branch Managers	1 hour	Annual
Sanctions Compliance	Payments, Trade Finance	1 hour	Annual
Certification Exam	All employees	Pass 80%+	Every 12 months

12. Policy Violations

Severity	Examples	Consequences
Low	Late training completion; minor documentation gap	Remedial training; warning
Medium	Failure to escalate alert; incomplete CDD	Written warning; suspension
High	Ignoring STR obligation; deliberate circumvention	Termination; regulatory report
Critical	Complicity in money laundering	Termination; criminal referral

AML Case Studies

Case Study: Large Cash Deposit by New Customer

Situation: New retail customer deposited SGD 45,000 cash within first week of account opening.

Risk Assessment: High — inconsistent with declared employment income; exceeds cumulative daily SGD 20,000 review threshold.

Required Action: Account flagged for EDD. Source of funds documentation requested. RM and Compliance joint review.

Expected Outcome: Customer unable to substantiate funds origin. Account closed; STR filed within 24 hours.

Case Study: Complex Corporate Ownership Requiring EDD

Situation: Corporate applicant presented ownership through three offshore entities with beneficial owner at 30% stake (above 25% threshold).

Risk Assessment: Very High — opaque structure; beneficial ownership verification mandatory.

Required Action: Full EDD initiated. Independent verification of UBO identity. CCO approval required.

Expected Outcome: Account approved with Very High risk rating; 6-month review cycle; continuous monitoring.

13. Frequently Asked Questions

Q: What is the cash transaction monitoring threshold?

A: SGD 10,000 for a single cash transaction.

Q: When is cumulative cash deposit review required?

A: When daily cumulative cash deposits exceed SGD 20,000.

Q: What triggers Enhanced Due Diligence?

A: Exposure above SGD 100,000 or EDD trigger events such as PEP status.

Q: What is the international wire transfer review threshold?

A: SGD 50,000.

Q: How quickly must an STR be filed?

A: Within 24 hours of MLRO confirmation.

Q: When is sanctions screening performed?

A: Real-time before transaction processing.

Q: How often are PEPs reviewed?

A: Annually.

Q: How often are high-risk customers reviewed?

A: Every 6 months.

Q: Medium-risk review frequency?

A: Annually.

Q: Low-risk review frequency?

A: Every 3 years.

Q: How does transaction monitoring work?

A: Real-time and daily batch analysis.

Q: How much AML training is required?

A: Mandatory annually — 8 hours.

Q: When must employees recertify?

A: Every 12 months.

Q: How long are records retained?

A: 7 years.

Q: What is the false positive review SLA?

A: 2 business days.

Q: How quickly must fraud be escalated?

A: Within 2 hours for urgent cases.

Q: What is the compliance hotline?

A: +65 8000 9100.

Q: What is the AML email?

A: aml@gtfs.internal.

Q: What identity documents are required?

A: Government-issued Photo ID, Proof of Address, Tax Identification Number.

Q: When is beneficial ownership verification required?

A: Mandatory for entities with ownership above 25%.

Q: How are high-risk jurisdictions monitored?

A: Continuous monitoring regardless of customer risk tier.

Q: Where are KYC details specified?

A: GTFS-COMP-002 KYC Guidelines.

Q: Can I tell a customer about an STR?

A: No. Tipping-off is prohibited and may be criminal.

Q: Who approves Very High risk customers?

A: Chief Compliance Officer (CCO).

Q: What should I do if I suspect money laundering?

A: Report immediately to aml@gtfs.internal or the compliance hotline.

Appendix A — AML Glossary

Term	Definition
AML	Anti-Money Laundering
CDD	Customer Due Diligence
EDD	Enhanced Due Diligence
FATF	Financial Action Task Force
MLRO	Money Laundering Reporting Officer
PEP	Politically Exposed Person
STR	Suspicious Transaction Report
UBO	Ultimate Beneficial Owner
TIN	Tax Identification Number

Appendix B — High Risk Country Examples

Category	Examples	Monitoring
FATF Black List	As published by FATF	Prohibited / exit
FATF Grey List	Jurisdictions under increased monitoring	Continuous
Sanctions Programs	OFAC, UN, EU designated countries	Real-time screening
Internal List	GTFS-determined high-risk jurisdictions	Continuous + EDD

Appendix C — Reporting Workflow & Escalation Matrix

Event	First Response	Escalation	Timeline
Monitoring alert	Compliance Analyst	Team Lead if confirmed	2 business days
Suspected fraud	Operations	Financial Crime Team	2 hours
Confirmed STR	MLRO	CCO + regulator	24 hours
Sanctions hit	Operations (block)	Compliance + Legal	Immediate
Policy breach	Line Manager	HR + Compliance	24 hours

Appendix D — Compliance Contacts

Function	Contact
AML Reporting	aml@gtfs.internal
Compliance Hotline	+65 8000 9100 (24x7)
Money Laundering Reporting Officer	mlro@gtfs.internal
Chief Compliance Officer	cco@gtfs.com
Financial Crime Investigations	financialcrime@gtfs.internal

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